



NATIONAL ECONOMIC COUNCIL (NEC) of SOMALIA

Harnessing Somalia's Blue Economy: Pathways to Sustainable Prosperity



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Foreword

With the longest coastline in mainland Africa, Somalia is not only strategically located but has enormous blue economy potential. The enormity of the resource endowments and the advantages of the strategic location have not counted all these years. The potential to connect Africa to the rest of the world and become a logistics hub; the renewable energy potential from the tidal waves and wind; the fibre optic capability; the endowment of fish and the potential for value additions along the chain; the potential for resorts and recreational facilities to boost tourism; and the numerous ocean resources available to Somalia remain substantially untapped. Making these advantages count for Somalia is crucial as the country looks to build a robust and prosperous economy for all Somalis.

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Executive Summary

Somalia has the longest coastline in mainland Africa, covering 3,333 km and strategically positioned along major shipping routes such as the Sue Canal, Gulf of Aden, the Indian Ocean and the Red Sea where about 80 percent of the international maritime trade is channelled. Such a strategic location makes Somalia the natural trade route for other countries (particularly its neighbors) for inland transits and transshipments. The length and the strategic location of the coastline, as well as the abundance of blue economy resources are crucial for the transformation of the Somali economy, provided these resources are harnessed. Somalia has not been able to make these resources and locational advantage count, as infrastructure and policies required to harness these resources have been lacking. As Somalia looks to transform its economy through a long-term development blueprint, the blue economy potential is one of the priority areas for consideration. This policy paper therefore explores the strategic coastal position of Somalia and proposes measures to develop it into a continental logistics hub. By leveraging its geographic advantage, Somalia can enhance regional connectivity, boost trade volumes, attract investment, and stimulate economic growth. The paper also outlines how Somalia could leverage its coast to develop other sectors such as fisheries, oil & gas, and wind energy. The paper outlines key policy recommendations to establish the necessary infrastructure, facilitate trade, promote private sector engagement, and ensure sustainable development. It emphasizes the importance of collaboration among government entities, private sector stakeholders, and international partners to unlock Somalia's potential along its coast.

1

Introduction

Somalia's coastline stretches 3,333 kilometres, making it the longest in Africa and with great potential to establish one of the largest blue economies in Africa and beyond. With the longest coastline in Africa, Somalia has the potential to establish itself as the major logistic hub in the world. Beyond the length, Somalia's coastline is strategically positioned along major shipping routes such as the Sues Canal, Gulf of Aden, the Indian Ocean and the Red Sea where about 80 percent of the international maritime trade is channelled. Such a strategic location makes Somalia the natural trade route for other countries (particularly its neighbors) for inland transits and transshipments. This presents the country with the opportunity to harness port operations and position it as one of the most vibrant logistic hubs in the world. Another opportunity is the importation of goods into Somalia and then packaged for re-export to countries closer to Somalia such as Kenya and Ethiopia. The country has four key operational ports at Mogadishu, Berbera, Bosaaso, and Kismayo, of which three (Mogadishu, Kismayo and Berbera) are deep water¹.

Somalia can also leverage the sea to develop capacity in telecom and digital infrastructure by laying submarine cables to help provide world class connectivity locally and abroad. With the gift of the longest coastal, Somalia can exploit capabilities in fibre optic technology (through submarine cables) and become one of the major global players in the distribution of international bandwidth and fast internet connectivity, particularly to the neighboring landlocked Ethiopia. Somalia's export is largely dominated by livestock, implying substantial concentration risk. Meanwhile, the country has the opportunity for export diversification by exploiting the fisheries potentials with its longest coastline. The fisheries sector would also provide

the added nutrition apart from meat. Somalia's coastline could help with renewable energy and power, given that the country is currently battling expensive, inefficient, and unreliable supply of power. There is the potential for wind energy in Somalia, given the offshore wind which is at 8 metres per second (the continent's highest). The country's longest coastline also allows the tourism sector to develop through recreational facilities and resorts along the coast. This would help contribute significantly to the diversification of the Somali economy from the current reliance on agriculture and create jobs for the youth. There is also the potential for oil and gas exploration from the country's coastline. However, establishing a vibrant blue economy and turning Somalia into a logistics hub requires enormous investment in hard and soft infrastructure, capacity building, governance, and regulatory reforms.

The objective of this policy paper is to provide a comprehensive account of how Somalia can harness the potential of its blue economy. Specifically, the policy paper aims to provide the current situation of sectors of the blue economy potentials such as the ports, fisheries, wind energy, and oil and gas. Given the sparse information on the various blue economy sectors such as tourism, oil and gas, renewable energy (wind power), and fibre optic capabilities, this policy paper is heavy on ports and to some extent fisheries, oil & gas, and wind energy. Section 2 considers the current situation of the various blue economy sectors, especially the nature of infrastructure required. Section 3 looks at the ways of turning the tides and picking up lessons from other countries. Section 4 evaluates the cost of turning the corner, the financing sources and mechanisms, and the projected revenues from the blue economy sectors. Section 5 looks at the possible risk factors and section 6 concludes.

2

The State of Affairs

2.1 The ports/marine sector

In spite of the length of Somalia's coastline, there are only 3 deep water ports in the country, partly because the country's coast lacks adequate roads connecting the ports to inlands for the purposes of carting cargos from the ports to their destinations inland. Around just 13 percent of all roads in Somalia (2,860km out of 21,830km) have been paved and even the paved roads are in bad shape, exacerbated by poor maintenance culture, climate change, and the protracted conflict. In addition to the few operational and deep-water ports, the traffic volumes are skewed to Mogadishu and Berbera ports, with relative inactivity in the rest. The port at Mogadishu is estimated to handle about 949,506 tons annually while Berbera handles 711,864 tons annually. Meanwhile, Kismayo, which is another deep-water port, handles just 4,556 tons. Worse still, there is substantial excess capacities at Berbera and Mogadishu ports in spite of the fact that these ports handle most of the volumes in Somalia. For instance, whereas the berth days available at the country's ports is 4,380, only about 872 berth days are required for the current level of traffic volumes, representing 19.91 percent or approximately 20 percent. At Mogadishu port, for instance, the estimated capacity is 2 million tons per annum but only about 949,506 tons are currently handled².

The level of development and infrastructure at the country's ports are very low. The Mogadishu port, which is the country's most active port, suffers from inadequate equipment. The port has no breakwater, thereby hindering operations during the wet season. The lack of equipment has meant that vessels rely on their own cranes for the purpose of unloading cargos. At Bosaaso port in Puntland, there is only one berth which can only take one ship at any point in time. The situations

at Kismayo and Berbera are not different. The poor infrastructure at the country's ports, especially the Berbera port, has come at a cost to Somalia. For instance, on the country's western border is Ethiopia, which is landlocked, and provides an enormous opportunity for Somalia to serve as the route for trade to and from Ethiopia. Sadly, around 90 percent of Ethiopia's import and export volumes are channelled through the ports of Djibouti, with Somalia attracting a paltry 10 percent (related to the export of livestock) through Berbera due to the poor infrastructure at Somalia's ports. Available estimates indicate that Ethiopia pays to Djibouti, on daily basis, 2 million USD for the transit of goods through the latter³. Although the poor infrastructure narrative is changing with Al Bayrak and DP World taking over the operations of Mogadishu and Berbera ports respectively, the substantial infrastructure deficit remains a major challenge.

Another challenge with Somalia's ports is the issue of connectivity. Beyond the strategic location lies the need to work on the connectivity and integration of the country's ports with the rest of the world. Somalia's score on UNCTAD's Liner Shipping Connectivity Index was just 9.8 as at the end of second quarter of 2023⁴ indicating the very low level of integration of Somalia into global liner shipping networks. A country's accessibility to international markets and the nature of traffic volumes it attracts hinges to a greater extent on the connectivity of its transport, particularly relating to shipments of goods in export and import transactions. The performance is even worse at the port level as Berbera, Kismayo, and Mogadishu ports scored 7.2, 6.8, and 7.9 respectively on UNCTAD's Port Liner Shipping Connectivity Index at the end of the second quarter of 2023. For Bosaaso port, the most recent data is for the first quarter of 2022 where the port scored 2.6 on UNCTAD's Port Liner

Shipping Connectivity Index and had been so since the first quarter of 2021.⁵

Moreover, the operational performance of Somali ports is weak. The deficiency in institutional capacity across all the custom administrations in Somalia affects policymaking and operational performance. The ports continue to be characterized by slow handling and processing. At Berbera port for instance, the recorded hourly container moves are 6 relative to the standard 25 recorded at modern and efficient ports. The poor operational performance is also attributable to a lack of inadequate equipment at the country's ports and the fact that the government is involved in the management of some of the ports, with the baggage of a myriad of unionised and overstaffed workforce who are less efficient. For instance, whereas modern ports are mostly capital-intensive and technology-driven, Somalia's ports are heavily over staffed, with about 5,000 workers at Mogadishu alone and another 2,000 at Berbera. The lack of jobs in the country is the major reason for the overstaffing at the ports. Furthermore, as the Somali government rakes in most of its revenue from international trade (in the form of taxes, fees and custom duties), there has been reliance on revenues from the ports, thereby exerting upward pressure on port charges in Somalia⁶.

Unsurprisingly, Somalia's Logistics Performance Index (LPI)⁷ score in 2023 is 2, placing it at the 137th position out of the 139 countries surveyed globally according to the World Bank data. In the 2023 rankings, Somalia is ahead of only Afghanistan and Libya. The country's LPI score of 2 in 2023 represents a decline from 2.21 in 2018 when it ranked 144th out of the 160 countries surveyed in that year. Somalia's LPI score has been unstable since 2014 when it scored 1.77 and ranked 160th country (the bottom) out of the 160 countries surveyed. There was a decline in the country's score in 2016, registering a score of 1.75 and ranking 158th out of the 160 countries surveyed. The year 2018 saw a rebound to 2.21 in the LPI score (ranking 144th country out of 160 countries) but declined to 2 in 2023.

The LPI score is a composite of other indicators such as customs score, infrastructure score, international shipment score, logistics competence score, tracking & tracing score, and timeliness score. The performance of Somalia in the scores and rankings of these subcomponents is telling. Table 1 summarizes the performance of Somalia in these subcomponents:

Table 1: Somali's performance on subcomponents of LPI

	2023		2018		2016	
	Score	Rank	Score	Rank	Score	Rank
Customs score	1.5	139 th out of 139 countries	2	145 th out of 160 countries	1.29	159 th out of 160 countries
Infrastructure score	1.9	132 nd out of 139 countries	1.81	157 th out of 160 countries	1.57	156 th out of 160 countries
International shipment score	2.4	111 th out of 139 countries	2.61	100 th out of 160 countries	1.86	157 th out of 160 countries
Logistics competence score	1.8	139 th out of 139 countries	2.3	121 st out of 160 countries	1.85	156 th out of 160 countries
Tracking and Tracing score	1.8	136 th out of 139 countries	2.23	140 th out of 160 countries	1.51	160 th out of 160 countries
Timeliness score	2.3	133 rd out of 139 countries	2.2	157 th out of 160 countries	2.35	152 nd out of 160 countries

Note: The customs score captures the efficiency of the processes for clearance at a country's border control institutions and customs. It looks at how fast, predictable, and simple the processes and formalities for clearance are. The infrastructure score captures the quality of infrastructure related to transport and trade. Essentially, the score looks at infrastructure on information technology, roads, railroads, and ports. The international shipment score captures the extent of ease of making shipments which are also competitively priced. The logistics competence score captures the quality and competence of logistics services provided by institutions and entities such as customs brokers and transport operators. The tracking and tracing score measures the capacity to trace and track consignments. The timeliness score measures how quick shipments get to their destinations as scheduled.

Similarly, the container shipping indicators as of the second quarter of 2022 shows the following: the number of services provided at the Somali ports is 9; there are no alliances; the number of partner countries (indicating maritime connectivity) is 14; and the average (mean) turnaround time at the ports was 1.2 days. This compares unfavourably with Djibouti, one of Somalia's competitors in terms of exports and imports of landlocked Ethiopia. Djibouti ports provide 13 services as against 9 in Somalia; Djibouti has 1 alliance whereas Somalia has none; Djibouti has 24 partner countries (measuring maritime connectivity) whereas Somalia has 14; and the mean turnaround time at Djibouti ports is 0.8 days compared to 1.2 days in Somalia. Unsurprisingly, Djibouti bags 90 percent of Ethiopia's trade volumes.

Clearly, a lot must be done to turn Somalia's ports into global logistics hub. The level of development and infrastructure certainly reflect in these rankings and dent the attractiveness of Somali ports to the rest of the world.

2.2 The Fisheries sector

The potential of Somalia's fisheries sector is enormous, considering the endowment of fish species such as tuna, sharks, billfishes, anchovies, rays, seabream, mackerel, emperors, and a host of other species across an area of about 830,390 km² within Somalia's Economic Exclusion Zone⁸. Additionally, fishing in Somalia can be done offshore and onshore, with substantial potential in both streams. The annual potential contribution of the sector is projected to range between USD 350 million and USD 950 million⁹. This potential, however, remains unrealised as the sector is substantially under-developed. The lack of cold-chains, landing sites, jetties, and infrastructure for processing of fishes largely hinder the growth of the fisheries sector. There is also the problem of post-harvest losses. The poor infrastructure and the lack of access to local and foreign markets inhibit the growth of the sector and the attractiveness of the sector to private investors¹⁰.

Moreover, what is holding back the potential of the fisheries sector include poor governance and

regulatory frameworks; poor coordination between fisheries ministries at the FGS and FMS levels; and poor surveillance. The lack of a robust legal framework for the fisheries sector has meant that foreign-owned vessels continue to engage in widespread illegal fishing which endangers the sustainability of the country's marine resources and destroying the marine ecosystem and environment. These vessels, involved in illegal fishing, also engage in abuse of labour, smuggling, and trafficking¹¹. The illegal fishing is estimated to be in excess of USD 300 million¹². Somalia also benefits little from the activities of numerous industrial vessels in the country's marine space. In addition to the little benefits from the activities of both the industrial and foreign-owned vessels engaged in illegal fishing, the country's future economic prospects is in jeopardy, given the massive depletion of its marine resources. Meanwhile, these natural resources are key to the economic renaissance and job creation. The country's effort to reclaim and manage these resources as well as stem the tide of depletion is inhibited by the poor common governance framework coordination between the FMS and the FGS. There is lack of capacity to regulate and monitor the illegal fishing along the coast and the offshore area¹³.

2.3 Oil and gas

Somalia's endowment includes oil and gas which have largely not been tapped. The country is estimated to have about 206 oil blocks covering an area of 173,000 kilometres and with oil reserves equivalent to about 110 billion barrels, making the country the sixth in terms of oil reserve endowment in the world¹⁴. In 2022, Coastline Exploration (a US-based firm) reached an agreement with the FGS for the exploration of 7 offshore blocks over an area of 35,000km², which saw the former pay the latter USD 7 million for the 7 blocks. From the 7 offshore blocks alone, the company is expecting to drill out barrels of oil running into tens of billions. Other exploration companies such as Shell and ExxonMobil are contemplating an entry into Somalia's promising oil sector¹⁵. The burgeoning oil sector in Somalia provides enormous opportunities for the country's economy and its

citizens. The country needs to ensure greater participation of local content (local businesses and citizens in the value chain) in the sector. There needs also to be proper mechanisms to ensure that Somalia benefits significantly from its oil.

2.4 Wind energy

The private sector is at the heart of power generation and supply, following the collapse of central government in 1991. The sector generates a little above 100 megawatts, fraught with inefficiencies as it depends on the use of diesel generators to generate power. As a result, power generation in the country is beset with technical and commercial

losses, estimated to be around 35 percent of power generated. In addition to technical and commercial losses, the sector also suffers transmission losses of up to 40 percent. The inefficiencies are borne by consumers, as electricity cost is estimated to range between USD 0.6 and USD 1 for every kilowatt relative to Horn of Africa's average which is estimated to be USD 0.2 for every kilowatt. Meanwhile, this is a country endowed with offshore wind in excess of 8 meters per second and potential capacity ranging between 30,000 megawatts and 45,000 megawatts which puts Somalia amongst Africa's highest in terms of speed of tidal waves and therefore a potential for wind energy to power industrialisation and economic renaissance.

3

Turning the Tide and Picking up Lessons from Other Countries

3.1 The ports/marine sector

Somalia's longest coastline and the proximity to markets in the GCC countries, Asia and the Middle East is not a guarantee that the country would be the preferred trade route for neighbouring countries and Africa at large. The fact that the country attracts only 10 percent of Ethiopia's trade volumes, the operations below capacities at the various ports, the relative inactivity at some of the ports, and the apparent poor performance on LPI and other connectivity indices are clear evidence of the fact that the potential that the coastline and its strategic proximity to global markets present, require concerted efforts to actualize them. This section presents the necessary steps Somalia would need to take to turn the tide of underperformance and the lack of exploitation of the full potential of the country's maritime ecosystem.

3.1.1 The need to construct new ports

Given the length of Somalia's coastline, the fact that the country has only four operational ports, of which three are deep water, is underwhelming. There is a need to situate deep water and active ports along the coast. The reconstruction of a port at Garacad is underway to add to the active and operational ports in Somalia. The reconstruction project, which is in three phases, is estimated to cost USD 180 million upon completion and is funded exclusively by the country's private sector. The first phase, estimated at a cost of USD 40 million, has been completed. The Garacad port, when completed, would be capable of handling about 3.5 million tons annually and can concurrently take about 4 cargo ships of up to 30,000 DWT. The location of the port is strategic, as its distance to the border with Ethiopia is within 303 kilometers. The reconstruction of this port should help lower

land transport cost across parts of central Somalia. The port would also provide connectivity advantage to Ethiopia via Galkayo and Galdogob. However, the government would have to construct a road from Garacad to Galkayo and Galdogob.

3.1.2 The need to construct new roads and improve existing roads linking the ports and inlands

One of the factors for which Somali ports have not attracted the needed traffic volumes is the lack of roads (paved and unpaved) linking the major ports to inlands. At the moment, the country's main port at Mogadishu links up with the inland through the 1,400km road from Mogadishu to Berbera. There is another 520km road that connects Mogadishu and Dolo through Baidoa. The Bosaaso port connects to the inland through the north-south major highway which starts from Mogadishu and links through Garowe and Galkayo¹⁶. Not only are these roads not enough but given the potential of the Mogadishu port in particular, the greater portions of these roads are in a bad state. Establishing a world class logistics hub in Somalia requires first class roads (fixing the existing roads and constructing new ones) from the ports to many parts of Somalia to enable transit through the country to neighbouring countries. It also allows goods to be shipped to Somalia for packaging and onward distribution to various States in Somalia and neighbouring countries. Such avenues then open up the warehousing businesses and related value chain along the coast.

3.1.3 Working on infrastructure and development

To actualize the potential of Somalia as logistics hub, significant investment in infrastructure (hard and soft) at the country's ports is required. As

development levels at the country's ports is currently low, the traffic volumes at the ports are equally on the low side. There is the need to invest in infrastructure such as cranes, breakwater, warehousing facilities, weigh bridges, office equipment, inspection yards, barge berths, multi-purpose berths (particularly at Barawe), improvement in Mogadishu terminal's oil facilities, construction of meat processing factories at the ports (especially Berbera and Bosaaso ports), workshops, general cargo, reefer yard areas, empty container handlers, reach stackers, offices for staff, and a host of other modern infrastructure. The country also needs to improve on the ICT infrastructure at the ports. In addition to reducing clearing times and the associated transaction costs, improvement in ICT infrastructure is also crucial in facilitating uniform and consistent application of customs procedures and laws on goods. The digitalisation of the processes also ensures transparency in revenue collections and improvement in revenue.

Investment in infrastructure must be systematic and over time. Singapore developed into one of the world's renowned logistics hubs through phenomenal levels of investments in top-notch infrastructure and processes over time. In spite of the levels of investments already made, Singapore is currently building the 'Next Generation Port 2030', which, when completed, would make the Singapore port the world's biggest integrated port, as it is billed to handle about 65 million containers. The country is also considering the technology of deploying automated guided cars without drivers and are determined to ride on smart sensors for the detection of irregularities in shipping such as piracy and the prediction of traffic-prone spots using data analytics. In 1989, Singapore unveiled a national single window, the first in the world, which rationalised and digitized processes for the approval of trade permits with the view to ease and simplify trade. The window had most government institutions in Singapore aboard, with a paradigm shift to trade facilitation from trade control. The window has made it possible for the electronic processing of permit approvals in a matter of minutes. The country is also working to augment the window to allow for integration

of several business-to-business dealings onto the single digital platform¹⁷.

Apart from the story of Singapore, Somalia's neighbour Ethiopia has established itself as one of the greatest aviation hubs in Africa, thanks to substantial investments in infrastructure. The Ethiopian Airlines, in addition to the enormous investment already made to achieve the current status is investing USD 5 billion to develop the Bole International Airport in Addis Ababa, as the airport is currently struggling to cope with the increasing traffic. The rise in traffic volumes has been phenomenal, reaching 7 million passengers in 2014 from less than 1 million passengers in less than a decade prior¹⁸. The International Air Transport Association (IATA) projects that the air transport sector in Ethiopia will have traffic volumes of 23.5 million passengers, contribute USD 13.5 billion to GDP, and create about 2 million jobs by 2037 according to the current trends. They also forecast that even in a worst case scenario, the passenger traffic will be 20.1 billion people, contribute USD 11.6 billion to the GDP, and create 1.7 million jobs by 2037. In the best case scenario, the traffic volumes could be 25.9 million passengers, contribute USD 14.9 billion to GDP, and create 2.2 million jobs in Ethiopia by 2037¹⁹. Ethiopian Airlines is also establishing a new terminal at Bole International Airport with the state of the art infrastructure. The new terminal boasts of e-gate facilities, 10 self-bag drops, 30 self-check-in kiosks, 16 immigration counters, 60 check-in counters, 3 and 10 contact and remote contact gates respectively²⁰.

Such levels of investments in infrastructure are sure to the way to keep developing and establishing the East African country as a colossus in the world's aviation space. It provides sufficient motivation for Somalia to invest in the required infrastructure to develop its ports into global maritime giants. That is possible, given Somalia's proximity to markets in Asia, the Gulf region, and the Middle East. Indeed, Ethiopia exploited a similar proximity advantage by establishing a strong aviation sector that connects Africa to Asia, the Middle East, the Gulf countries, and parts of Europe and the Americas.

3.1.4 Dealing with connectivity

For a vibrant logistics hub, connectivity is crucial. At the moment, the Berbera Addis Ababa corridor is the gateway to Somalia's connectivity to the rest of Africa. The north of Somalia links to Sudan through Addis Ababa while the south of Somalia links to Mombasa through Addis Ababa. There is also 1,450km corridor to link Ethiopia's eastern part to the trade corridors with Berbera. Another route is the link from Somalia to Kenya. This corridor is from Kismayo port to Liboi which shares border with Kenya. This route is estimated to be 750km long but the part from Kismayo to Liboi (up to the border with Kenya) is 220km long. The focus, in terms of development should therefore be on the 220km portion of the corridor up to the border with Kenya. The Mogadishu – Beled Hawo – Nairobi route is also estimated to be 1,490km long. However, the part that falls within the territories of Somalia is 530km road from Mogadishu through Baidoa to Dollow and Beled Hawo²¹.

There is the need to develop these corridors, particularly the portions which fall within the territories of Somalia, to facilitate trade through Somalia. The country can also explore the possibility of becoming the transit point for trade to and from Uganda and Kenya by looking at the Kismayo to Kampala and Nairobi route. Naturally, the connecting route from Somalia to other African countries may be cost prohibitive, given the distance by land. However, the greater benefit or trump card for Somalia is that it is much closer to ports in Asia and the Middle East. Removing multiple and illegal checkpoints on the roads, working on processing times at customs checkpoints, and the logistics fees would make Somalia a very attractive route for trade. As Somalia is part of trade blocs such as the Common Market for Eastern and Southern Africa (COMESA) and the East African Community (EAC), developing greater connectivity with member states of these trade blocs is crucial to enable the country capture substantial trade volumes within these trade blocs and beyond.

The experiences of Singapore, Panama, and Ethiopia are crucial for Somalia. By virtue of its size, Singapore naturally has relatively small

domestic market. However, the building of a web of connectivity with the rest of the world has turned Singapore into one of the preferred logistics hubs in the world. To boost connectivity in the aviation space to build synergies with the ports, the country secured 130 Air Services Agreement with different countries. Similar connectivity web was created in the maritime space as the country engaged a number of shipping lines to establish one of the busiest maritime transport system. To engender greater accessibility to other global markets, Singapore secured over 30 Free Trade Agreements with other countries. This impressive levels of connectivity endeared Singapore to many companies in the maritime and logistics business to locate their operation in Singapore to benefit from the established connectivity and the added advantage of getting their consignments delivered on time²². The game changer for Panama has been the extensive connectivity to a number of countries. Panama is connected to 1,700 ports and 144 maritime routes. The country has established Free Trade Zones, with over 3,000 companies that enjoy tax waiver on imports and exports. There is also warehousing facilities at the port and transit time is not even up to an hour²³. Ethiopia exploited their proximity to Asia, Middle East, and Europe and developed their aviation sector as a route to link Africa to these continents. The airline has also developed the capacity to connect Africa to the Americas.

3.1.5 Working on operational performance and efficiency of processes at the ports

Deficiency in institutional capacity across all the customs administrations in Somalia affects policymaking and operational performance. This calls for capacity building efforts for the various levels of staff across the custom administration. There is a need to establish modernised authorities at the various ports in Somalia. The fact that most of Somalia's borders do not have customs administration due to lack of resources, infrastructure and qualified personnel makes illicit trade thrive. With modernised and efficient customs administration at each border, transparency and accountability are enhanced in revenue collection and promote efficiency in customs procedures

which go a long way to lower transaction costs for players in international trade and make Somalia a competitive and attractive route.

The current laws relating to customs have not been updated in a long while. They need to improve in dealing with a myriad of customs-related matters, particularly on operations such as transit, duty drawbacks, warehousing, and refunds amongst others. Enacting regulations reflective of modern customs operations is crucial in ensuring efficiency and effectiveness at borders and not necessarily deterring the legitimate flow of trade volumes. Such regulations embrace good customs controls and the need to engender facilitation of trade²⁴.

The customs tariff regime is complex and would have to be revisited. There is a lack of clarity for traders in distinguishing between costs related purely to port services and those related to inland revenues. Moreover, Somalia uses a reference prices regime (with no bearing on the exact real value of goods) when the world has long embraced the concept of transactional value. The country, in some cases, specify fixed customs duties (irrespective of the value, features, and the quality of the goods) which implies certain goods could be substantially under levied and occasion loss of revenues. Custom duties should be informed by the features of the product, the value and the quality of the product. There is the need for harmonization of customs processes and regimes at all the ports in Somalia. This helps to have common tariffs duty rates across the ports. This helps to also do away with multiple taxation at the FGS and FMS levels²⁵.

3.2 The Fisheries sector

The potential of Somalia's fisheries sector can be realised with the right investments in cold chains, landing sites, jetties, and other infrastructure for the processing of fish. The processing of fish adds value and creates another layer of job opportunities for Somalis. The processing facilities also help to cure the perennial post-harvest losses suffered by the players in the sector.

There is a need to build the necessary legal frameworks, build strong institutions, enact fisheries law, and develop sharing frameworks for revenues between FGS and FMS. The improvement in governance structures would help deal with illegal and undocumented fishing which continues to plague the sector. In addition to the governance structures, there would be the need to invest in surveillance and monitoring to be able to root out illegal and undocumented fishing in Somalia. Importantly, Somalia would need to establish strong coordination between the FGS and the FMS not only on revenue-sharing mechanisms but also dealing with licensing issues for fishing vessels. This would go a long way to streamline operations in the sector. Streamlining operations and coordination also requires that some investments are made in human and institutional capacity building which is currently lacking. To motivate private sector involvement, there is the need to work on accessibility to domestic and external markets, particularly for landlocked countries.

3.3 Oil and gas sector

This is an emerging sector and Somalia would have to put in place the regulatory framework to ensure the country is not exploited by oil exploration companies. The country would have to ensure maximum benefits from the exploration of its oil. The local content issue is very crucial to avert agitations by citizens.

3.4 Wind energy

The use of diesel generators, along with the inefficiencies and costs, could make the power sector one of the nemesis of industrialisation and economic renaissance agenda. With endowment of tidal waves in excess of 8 meters per second, Somalia could turn the tide by investing in wind energy which could prove to be less expensive and more efficient. The private sector is already at the heart of the power sector and government would need to streamline the operations of these private companies and provide conducive environment.

4

The Cost Implications, Financing, and the Projected Revenues

Turning the tide will not come cheap. Building additional ports, investing in world-class infrastructure (hard and soft), building institutional and human capacities, and enacting the regulatory framework would require substantial funding. However, that should not deter Somalia as the accompanying benefits of exploiting the potential of the country's blue economy far outweigh the costs in a number of ways (contribution to GDP, job creation, poverty alleviation, diversification of the economy, and the integration of the Somali economy into the global market space). Importantly, the cost would not be incurred overnight. As countries such as Singapore and Ethiopia have demonstrated, such colossal investments are made over time. With the right planning and commitment, Somalia can turn around its economy's fortunes by exacting its coastline's potential. This section presents the estimated costs of investments in infrastructure, the financing plan and the projected revenues.

4.1 Costs

Ports/Marine sector

In 2016, the African Development Bank (AfDB), in transport needs assessment on Somalia, provided estimates for a number of priority projects ranging from port construction, berth construction, road construction and rehabilitation, aviation sector projects, and a host of others. This section adapts some of these estimates by adjusting for inflation. Given that the estimates were given in United States dollars, the adjustment is done using the inflation rate in the United States. In 2016 when the AfDB provided the estimates, the inflation rate was 1.26 percent in the United States according to the World Bank's World Development Indicators (WDI) database. With IMF projecting inflation to average 3.8 percent in the US in 2023, it is safe to adjust the estimates using the percentage increase between the inflation rate in 2023 and the rate in 2016. Indeed, taking the average of the annual inflation rates between 2016 and the forecasted rate for 2023 yields about 3.2 percent (that is 1.26%, 2.13%, 2.44%, 1.81%, 1.23%, 4.7%, 8% and 3.8% in 2016, 2017, 2018, 2019, 2020, 2021, 2022 and 2023 respectively according to WDI data) which is not too far from the 3.8 percent that is used.

From 1.26 percent in 2016 to 3.8 percent in 2023 means prices have, on the average, tripled over the period. This warrants tripling of the estimates made by the AfDB in 2016 for the purposes of current estimates.

Construction of additional port(s), berths, and related infrastructure

The construction of a port at Garacad in Puntland is underway. There is also the need for berths, information technology, and related infrastructure. The construction of a berth, estimated to cost around USD 20 million as of 2016 could now cost around USD 60 million. Constructing at least two new berths at several roadstead port sites (at least 4) and at Barawe brings the total to 10 and the estimated cost to USD 600 million. The construction of a port at Garacad is estimated to cost USD 180 million. The improvement in Mogadishu terminal's oil import facilities and the investment in meat processing factories at Berbera and Bosaaso are estimated to cost about USD 60 million and USD 180 million respectively. Meanwhile, the port charges harmonisation and the investment in information systems at the ports are estimated to cost USD 1.5 million each. Table 2 below gives a summary of the estimated costs:

Table 2: Cost estimates for port and related infrastructure as of 2023

Project	Cost elements	Costs (USD million)
Construction of a port at Garacad.	Construction and associated infrastructure and feasibility study	180
Construction of barge berths at about 4 roadstead port sites	Identification of preferred sites and technical and economic feasibility studies.	0.75 (feasibility studies)
	Construction of 4 berths	240 (actual construction)
Construction of 2 multi-purpose berths at Barawe	Technical and economic feasibility study.	0.75
	Construction	60
Upgrading of the oil import facilities at Mogadishu terminal.	Technical and economic feasibility study.	0.75
	Upgrading of oil import facilities	60
Investment in port-based meat processing factories (at Berbera and Bosaaso)	Estimated costs of investment per meat processing plant.	180
	Feasibility study	0.60
Harmonisation of the role of port charges as a source of revenues to government	Overhaul and harmonisation of port tariffs and ground rules for their use	1.50
Port information system	Estimated costs of information system	1.50
TOTAL		725.85

Source: estimates adapted from AfDB's transport sector needs assessment report

Construction and rehabilitation of roads to aid connectivity

To enhance connectivity with the rest of Africa and beyond, several major roads require fixing and new roads are needed in some instances. The estimated cost for the pavement and rehabilitation of paved roads for the purposes of enhancing connectivity is USD 2,739.36 million as presented in Table 3 below:

Table 3: Cost estimates for roads as of 2023

Road	Length (km)	Nature of project	Cost (USD million)
Mogadishu – Afgoye – Baidoa – Beled Hawo (Kenya border)	520	Requires pavement with Triple Surface Treatment (TST)	687
Mogadishu – Beledweyne – Galkayo	704	Rehabilitation of paved road with TST	459.36
Kismayo – Merca – Mogadishu	483	Rehabilitation of paved road with TST	315
Kismayo – Liboi (Kenya border)	220	Requires pavement with TST	291
Bosaaso – Garowe	410	Rehabilitation of paved road with TST	267
Galkayo – Garowe	240	Rehabilitation of paved road with TST	156
Garowe – Lasanod	130	Rehabilitation of paved road with TST	84
Galkayo – Garacad	210	Requires pavement with TST	168
Galkayo – Galdogob	60	Requires pavement with TST	48
Emergency maintenance	2,977 (total of above listed roads)	Filling of potholes/resurfacing to make the roads traffic worthy until the start of complete construction works	30
Routine maintenance upon stage-wise completion	2,977	Routine maintenance of all main roads after completion up to 10 years	54
	2,977	Detailed design and construction supervision of main roads	138
	2,977	Establishment of Project Management Units	42
TOTAL			2,739.36

Source: estimates adapted from AfDB's transport sector needs assessment report

The fisheries sector

There is sparse data to make any meaningful cost estimates and projections. The government's key focus in this sector is to develop strong regulatory frameworks, establish proper coordination with the FMS, devise equitable revenue sharing schemes, build human and institutional capacity, invest in infrastructure such as landing sites and jetties and improve monitoring and surveillance. These might not require the level of investments observed under the port/marine sector.

4.2 Financing the face lift of the ports/ marine sector, the road networks and the fisheries sector

The ports/marine sector

The estimated cost of USD 725.85 million and USD 2,739.36 million for the ports and roads sectors respectively look daunting, given Somalia's finances and the nature of fiscal space it is working with. In particular, the fact that aid will fall off upon reaching HIPC Completion Point would make it even more onerous as the country would have to turn to concessional borrowing while avoiding debt accumulation. Luckily, the estimated costs are not entirely required in a year. With the necessary financial planning and support from the international community, Somalia can deliver a robust blue economy that would spur on economic renaissance. For these capital projects in particular, Somalia would have to engage multilateral institutions and donor agencies to support the financing of these projects. Budgetary allocation might not be feasible in the immediate term or perhaps over the next three years and therefore some engagements with multilateral organisations is crucial.

In addition, Somalia would have to learn from the experience of Singapore by engaging the private sector to invest in the logistics sector and the entire blue economy sectors. Investment in Somalia's ports in terms of infrastructure should be driven by the private sector, given the enormity of investment required vis-à-vis the country's constrained fiscal space, and the concessional borrowing arrangements after the HIPC Completion Point. The exclusive financing of the Garacad port by the private sector is a bold statement of the capabilities of the Somali private sector which the government would have to harness. Additionally, the model involving Al Bayrak and the Ports Authority as well as the involvement of DP World at Berbera port should be encouraged and strengthened. The government can focus on building and strengthening institutions at the seaports and instituting the right regulatory frameworks and regimes while allowing the private sector to manage the operations of these ports.

In Singapore, the government has worked at getting the buy-in of the private sector in terms of investment in the logistics sector. This has been achieved through government's deliberate policies on making investment conducive in the country and making the business environment very attractive. As a result, Singapore is home to the regional and global operations of 20 of the world's 25 largest logistics companies. In addition to elevating Singapore's status as a global logistics hub, the presence of these companies is a major boost for technology and best practices transfer to domestic companies in the logistics value chain. Several privately owned companies have also occasioned healthy competition and engendered efficiency in the sector. The government has also ensured close consultations with the private sector regarding the nature of infrastructure required by private companies to facilitate business transactions. This has ensured that businesses make inputs and are motivated to make investments in complementary infrastructure to supplement those made by the government. In addition to consultation, problems are equally addressed with the private sector²⁶. Such a strong partnership with the private sector delivers business harmony and ensures long term commitment by the private sector for the mutual benefits of the state and the private sector.

Somalia would have to put in place deliberate policies which make the logistics sector more attractive to the private sector. The private sector participation helps to uplift infrastructure and efficiency at the ports. Berbera port has been under the management of DP World since 2017. With the coming on board of DP World, cargo volumes are estimated to have increased by 35 percent and another 300 percent increase in vessel productivity. The deployment of the digital systems and capacity building of staff by DP World has led to a reduction in vessel waiting times to hours from days. Upon taking over the operations, there has been expansion works. The first phase of the expansion saw an extension that can accommodate containers with 400 metre extra quay that can handle a maximum of 400 metre LOA vessels measuring 8 metres high and

24 metres wide. The container terminal also has a capacity of 500,000 twenty-foot equivalent units. The expanded terminal now has a service centre providing one-stop services. The service centre is resourced with modern fibre optic network and the operation are fully computerized. The terminal has 250 CCTV cameras installed with accompanying control room where the CCTV system is monitored from. The other capabilities include billing, cargo tracking, payment, finance, and maintenance. Prior to DP World taking over the operations, there were no cranes but now they have 6 cranes. There are also two warehouses, 6 empty container handlers, and 9 reach stackers²⁷.

In December 2022, the government of Puntland and DP World reached an agreement to construct and upgrade the Bosaaso port. The construction project was billed to begin in 2023 and last for a period of 12 months. The project is expected to develop a new quay of 150 metres and renovate the existing quay which measures 215 metres. There will be a new container yard measuring 3000 square metres, and a new container stripping yard measuring 4000 square metres²⁸. Similarly, Al Bayrak is operating the Mogadishu port under a lease agreement over a 20-year period from September 2014. The presence of Al Bayrak has led to improvement in the quality of infrastructure, and capacity building for local staff. Such private sector involvements are key to taking some fiscal pressure off the books of the central government and must be explored.

The fisheries sector

As indicated earlier, the nature of financing required for the fisheries sector is for regulatory and governance fortification. The role of private investors is crucial for this sector. The government must establish the conducive environment to attract the private sector.

4.3 Projected Revenues from the blue economy

Ports/Marine sector

The expected revenues from harnessing the country's blue economy are enormous. For the

ports and the logistics sector alone, the potential is phenomenal as the country's domestic revenue sources are heavy on the international trade. By developing the ports and the logistics sector in particular, the contribution of revenues from trade would be phenomenal. On the back of poor roads, low levels of development of ports and lack of equipment at these ports, 90 percent of Ethiopia's trade is routed through Djibouti, translating into USD 2 million revenues to Djibouti on daily basis as of 2016. Only 10 percent of Ethiopia's trade was channelled through Somalia, implying that Somalia was receiving at least USD 222,222.2 daily. By extension, the total daily revenues made by Djibouti and Somalia combined as of 2016 was USD 2,222,222.2 from Ethiopia's trade. With tripling of prices, given the inflation rate, that comes to about USD 6.67 million when adjusted for inflation. With the right infrastructure and well-developed ports, Somalia can wrestle for a greater proportion of Ethiopia's trade flows, especially because of its proximity to Ethiopia and markets in Asia, Gulf region and the Middle East. It is projected that Somalia could bag about 80 percent of Ethiopia's trade, implying 80 percent of USD 6.67 million on daily basis (working out to about USD 5.34 million daily). On annual basis, Somalia could earn about USD 1,949.1 million from trade with Ethiopia alone and through just Berbera port.

Meanwhile, Berbera port handles less volumes compared to Mogadishu. At an estimated 2 million tons across the 4 operational Somali ports, Mogadishu handles almost half (949,506 tons) while Berbera port handles about 711,864 tons. Goods imported through the Mogadishu port are largely cement and food while export is mostly livestock and fruit. Given the booming construction sector in Somalia, the Mogadishu port holds promise for increased import of cement for rebuilding Somalia. With relative inelastic demand for food, not only in Somalia but many parts of developing economies, an improvement in the Mogadishu port should see more imports of food by neighbouring countries through Somalia's Mogadishu port. Livestock export remains Somalia's major economic lever and aspects of it would continue to be channelled through Mogadishu. On

the basis of the ratios of the volumes of traffic at Mogadishu and Berbera, an assumption is made that the revenues to be earned at Mogadishu port should be about 1.3 folds more than is projected to be earned at Berbera. This brings projected revenues at Mogadishu to USD 2,534.61 million annually. On the basis of this assumption, the traffic volumes at Berbera oil terminal and Kismayo port should bring in revenues of about USD 766.65 million and USD 12.48 million respectively every year. For Bosaaso, data is not readily available to facilitate

projections. However, assuming the same traffic volumes as Kismayo, Bosaaso port is expected to rake in USD 12.48 million annually. In view of the fact that the Kenyan trade and trade from EAC and COMESA member states are expected to be targeted following the development of ports in Somalia, the assumption is to project about half of the current trade levels in the short to medium term. The revenue projections are presented in the Table 4 below:

Table 4: Revenue projections

Ports	Projected annual revenues from existing trade partners after the investments and face lift	Additional revenues from exploring trade with Kenya and other EAC and COMESA members	Combined revenues
	(USD million)	(USD million)	(USD million)
Mogadishu	2,534.61	1,267.305	3,801.915
Berbera	1,949.1	974.55	2,923.65
Kismayo	12.48	6.24	18.72
Bosaaso	12.48	6.24	18.72
Berbera oil terminal	766.65	383.33	1,149.975
Garacad (new port)	-	400	400
TOTAL	5,275.32	3,037.66	8,312.98

The Fisheries sector

The sector is estimated to have the potential of contributing up to USD 950 million to the Somali economy if properly harnessed.

5. The risk issues

The perceived and apparent security challenges in Somalia constitute a major risk to the exploitation of the potential of the country's blue economy. In particular, the need to attract crucial private sector investment is heavily dependent on the security situation in Somalia.

The control and revenue-sharing modalities between the Federal Government of Somalia (FGS) and the Federal Member States (FMS) is crucial for the success of the revamping of the blue economy.

The estimates of costs and revenues may not be realistic. Nevertheless, it provides a gap for more accurate estimates if the data becomes available.

6. Conclusion

This policy paper provides a comprehensive roadmap for unlocking Somalia's potential as a continental logistics hub and in developing other blue economy sectors such as fisheries, oil & gas, and wind energy. It highlights the need for investment in infrastructure, trade facilitation, private sector engagement, skills development, regional cooperation, sustainability, and risk management. By implementing these recommendations, Somalia can harness its strategic coastal position to foster economic development and become a vital player in regional and international trade.

The various sectors of Somalia's blue economy hold promise for economic recovery and buoyancy in the medium to long term. The job creation prospects, economic growth, and sustainable development potential are immense. Exploiting these potentials require concrete steps by the Somali government. These steps are contained in the following recommendations:

- The government should consider situating deep water ports along the coast. Given the length of the country's coastline, having only 3 deep water ports is not enough to realise the potential of the country's logistics sector.
- The deplorable roads in Somalia requires fixing to aid connectivity of the country's ports to inland and the rest of Africa and beyond.
- There is the need to invest in infrastructure across the blue economy sectors such as ports, oil & gas, fisheries, and wind energy.
- Capacity building programme for various levels of staff across the custom administration is recommended. There is also a need to establish modernised authorities at the various ports in Somalia.
- The customs tariff regime requires review and harmonization as the current regime lacks clarity for traders in distinguishing between costs related purely to port services and those related to inland revenues.
- There is a need to build the necessary legal frameworks, build strong institutions, enact fisheries law, and develop sharing frameworks for revenues between FGS and FMS. The improvement in governance structures would help deal with illegal and undocumented fishing. In addition to the governance structures, there is also a need to invest in surveillance and monitoring to be able to root out illegal and undocumented fishing in Somalia.
- To motivate private sector involvement, there is the need to work on accessibility to domestic and external markets, particularly for landlocked countries.
- The oil and gas sector is an emerging one. The government would have to put in place the regulatory framework to ensure the country is not exploited by oil exploration companies. The country would have to ensure maximum benefits from the exploration of its oil. The local content issue is very crucial to avert agitations by citizens.
- With endowment of tidal waves in excess of 8 meters per second, Somalia should invest in wind energy to curtail the cost-prohibitive and inefficient power general and supply in the country.
- Somalia would have to court the participation of the private sector in unlocking the potential of the blue economy sectors. The enormity of investment required vis-à-vis the country's constrained fiscal space, means private sector investment is crucial. This can happen with the right business environment created by the government.
- The need to attract crucial private sector investment is heavily dependent on the security situation in Somalia. The government should work at providing a safe environment for businesses to thrive.
- The control and revenue-sharing modalities between the Federal Government of Somalia (FGS) and the Federal Member States (FMS) is crucial for the success of the revamping of the blue economy.

About National Economic Council

The National Economic Council (NEC) was established by the Federal Republic of Somalia in 2018 and restructured in November 2022 through a presidential decree. The NEC advisory arm is a vital component of the Office of the President and provides advisory services on economic and related policy matters.

The NEC is chaired by the President of the Federal Republic of Somalia (FRS), with the Prime Minister serving as deputy. Membership of the Council the economic sub-committee of the Cabinet of the FGS, the Governor of the Central Bank of Somalia, Federal Member States, and nine (9) National Economic Advisors (NEAs). The NEAs support the national leadership evidence-based research and advisory services on the nation's socioeconomic issues. The NEAs and other NEC staff form the technical arm of the NEC.

Since its establishment, the NEC has provided proactive policy recommendations that have shaped public debates on different policy options (scenarios). Its activities and publications have also played a significant role in fostering discussions on policy choices and have opened up areas previously limited to specific institutions. As a result, a community of professionals has emerged, engaging in discussions on policy issues and advocating for changes in their respective sectors.

Endnotes

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